

The Insolvency Professionals

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- ▶ IPs act as agents of the court/adjudicator.

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 - ▶ Enhance effectiveness of insolvency proceedings

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- ▶ **Companies Act, 1956:** Official Liquidator (OL)
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- ▶ OLs appointed from a Central Government database of company secretaries, chartered accountants, cost accountants and advocates (or firms or bodies corporate).
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- ▶ IAs and CAs appointed by National Company Law Tribunal (NCLT) from a similar Central Government database.
 - ▶ Consequence of misconduct/fraud/malfeasance/breach of duties : removal from Central Government database.

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- ▶ Requires a regulatory framework for registration, operating procedures, supervision and disciplinary action.

Insolvency Professional Reform: BLRC

- ▶ The role of IPs vital to the efficient operation of the insolvency resolution process (IRP) and liquidation process.
- ▶ An IP may hold the following appointments:
 1. Resolution professional (RP) in an IRP for a legal entity
 2. Liquidator
 3. Trustee in an individual IRP
- ▶ The Code defines clear regulatory entry barriers for IPs
- ▶ Proposes minimum professional standards
- ▶ Lays out IP regulatory structure

Part A. Insolvency Professionals: Entry Requirements and Code of Conduct

Entry requirements for IPs

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5. Only “fit and proper” candidates who clear the IP exam will be licensed.
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6. Upon being granted IP license by a professional agency, a candidate automatically becomes a member of that agency.
7. A person who acts as an IP at a time when he is not qualified to do so is liable to penalties by the IB Regulator.

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 - ▶ Maintain confidentiality of information acquired
 - ▶ Will not commit fraud or abuse, or exert undue influence on, or on behalf of his clients

Part B. IP Agencies: Quasi-regulatory, Executive and Enforcement functions

Role of IP agencies: Quasi-regulatory

- ▶ IP agencies will issue bye-laws that:
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 6. Require all licensed IPs to furnish security/bond for losses caused by fraud or dishonesty by the IP
 7. Set unambiguous benchmarks for non-compliance, and lay down mechanism for awarding penalties
 8. Specify the conditions under which IPs might lose their professional license and be expelled from an agency.

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8. Prove violation of minimum standards and code of conduct to the Enforcement wing of the agency by leading evidence.

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- IPs can appeal actions taken against them, to the Adjudicator.

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- ▶ State rights and obligations of, as well as standards to be maintained by IP agencies while regulating IPs
- ▶ Impose financial penalties on IP agencies and also take away their licenses if it deems necessary
- ▶ Monitor and supervise the performance of IP agencies through regular inspections and audits

Open Question

- ▶ How to sync the proposed system with existing institutions like ICAI, ICSI, Bar Council etc?

Thank you.